GamerVault's Silent APAC Wallet Erosion: The 27-Day Decline Mystery

Root Cause Analysis, Technical Action Plan, Merchant-Facing Communication and Proactive Optimization Recommendations

Summary

- **Cause:** On Jan 21 Adyen began enforcing 3DS2 on all e-wallet payments; GamerVault's wallet 3DS setting was still "optional". This explains about 93% of the 5.3-point drop (78.4% to 73.1%).
- **Impact:** Wallet approval fell from 80.3% to 60.7%; cards are flat. About $2.4M/month of wallet value is affected, of which at least $680K/month is net revenue loss.
- **Fix:** Update the wallet 3DS config (P0, within 24 hours) and fix the stuck-checkout flow in the app (2-5 days).
- **Outcome:** Wallets about 79% and overall APAC about 78% within 7 days.
- **Ours to own:** Adyen's Jan 18 notice reached Yuno by email and was not relayed.

1. Root Cause Analysis

Segment	Share	Jan 1-20	Jan 21-Feb 16	Change
All wallets (GrabPay, GCash, ShopeePay, DANA, TouchNGo; all on Adyen)	26%	80.3%	60.7%	-19.6 pts
Cards (Visa/MC credit, Visa debit)	73%	78.9%	78.4%	-0.5 pts
PayNow / PromptPay	1%	87.7%	87.0%	-0.7 pts

Wallets explain about 5.1 of the 5.5 modeled points (about 93%); cards about 0.4. All five wallets fell 18.7-20.8 points, which points to one shared cause. Adyen Visa Credit on the same provider held (79.9% to 79.4%), as did Stripe cards, so this is not a general Adyen or Yuno outage. The Philippines (-8.6 pts), Vietnam (-7.4) and Indonesia (-7.3) carry the damage because the Jan 12 wallet campaign ran there; the other eight markets moved 0.0-0.8 points.

Decline codes match. All 11,650 3DS_FAILED declines sit on Adyen wallets (none on cards or other providers), plus 5,890 INVALID_WALLET_CREDENTIALS on the same path. Both are configuration-type failures, not issuer decisions. Mechanism: the customer is redirected to the wallet and must confirm via 3DS2; with the setting on "optional" the step stalls (the stuck

screen), the customer abandons (3DS_FAILED), and the wallet token expires. GamerVault's logs are clean because this happens after hand-off, outside its code.

Date	Event	Effect
Jan 3 / Jan 12	App v4.8.0; PH/ID/VN wallet campaign (+18% wallet volume)	None. Approval stayed about 80% through Jan 20.
Jan 18	Adyen emails Yuno about 3DS2 enforcement	Not relayed to GamerVault.
Jan 21	**Adyen enforces 3DS2 on all wallets**	**Wallets drop about 19 pts.**
Jan 24	"Stuck on loading" tickets +140%	Customers cannot finish authentication.
Feb 10	BDO and Bank Mandiri tighten fraud rules	Secondary; covers 7 of 27 days.

Impact. Wallets are about $12.5M of the ~$48M monthly volume. The 19.6-point drop equals about **$2.4M per month of wallet value** declined versus the old rate. We read Lina's $680K as net revenue after retries and method switching, so we treat **$680K as the minimum and about $2.3M as the upper bound** of recovery (at a recovered wallet rate of about 79%), to be reconciled with GamerVault finance.

Primary vs secondary. Primary (about 93%): the 3DS2 enforcement, the unchanged "optional" setting, and the missed notice. Secondary (about 7%): card softness of 0.3-0.8 pts, and issuer fraud tightening at BDO and Mandiri (BIN approval down 7-9 pts, versus DBS and HSBC flat). Those BIN drops exceed the card-method drops, which suggests the BIN data includes card-funded wallet payments; we will request it split by method and day. **Red herrings:** the Jan 3 deploy (18 days before the drop), volume growth (cannot lower a rate), and the Feb 10 issuer changes (too late, too small). Data note: INVALID_WALLET_CREDENTIALS sums to 6,890 in the provider table versus 5,890 in the code table, likely retries counted as attempts; it does not change the diagnosis.

2. Technical Action Plan

Targets: wallets 60.7% to about 79%; overall APAC 73.1% to about 78%.

Pri	Action	Owner	Timeline	Expected impact
P0	Switch wallet 3DS from "optional" to Adyen-compliant 3DS2	Yuno, Adyen	4-24 hrs	Wallets to ~75-79% in 72 hrs; recovers ~$1.8-2.3M/month of wallet value

Pri	Action	Owner	Timeline	Expected impact
	on all wallet routes; confirm required data fields and return URL. Canary 10% of PH traffic, then 100%. Open a priority Adyen case for transaction-level detail.			
P0	Test wallet checkout on real iOS/Android devices in PH, ID, VN; fix the stuck screen (return URL/deep link, timeout, error message); upgrade SDK v2.8.4 if needed.	GamerVault, Yuno	2-5 days	Removes abandonment
P0	Daily 15-minute call and hourly dashboard until wallets exceed 77%.	Yuno	Today	Fast regression catch
P1	Retry/cascade for soft declines 51, 65, ISSUER_NOT_AVAILABLE (16,310 declines; 15-25% recovery is ~2,400-4,100 transactions, ~$85-145K/month at	Yuno, GamerVault	1-2 wks	+0.3-0.5 pts

Pri	Action	Owner	Timeline	Expected impact
	an assumed $35 ticket).			
P1	Risk-based 3DS for PH/ID/VN cards (the current "3DS above $100" rule almost never fires on $24-29 tickets); verify MCC 5816 data.	Yuno, GamerVault	2-3 wks	+2-3 pts on affected BINs (~16.6% of volume)
P1	Second wallet provider with failover (20% split); provider notices become tickets with a 24-hour TAM review.	Yuno, GamerVault	1 wk process; 4-6 wks provider	Resilience
P2	Account updater and network tokens for 4,820 expired/invalid card declines.	Yuno, GamerVault	4-8 wks	Recovers ~3-8% of those

Success criteria: wallets above 75% by day 3 and above 78% by day 7; overall APAC at or above 77.5% by day 14.

3. Merchant-Facing Communication

To: Lina Torres, Head of Payments | **Cc:** Dev Kapoor, CTO **Subject:** What caused the APAC approval drop, and our plan to fix it

Hi Lina,

Thank you for escalating, and I'm sorry it took 27 days to get you a clear answer. Your Feb 2 question was the right one, and we should have answered it better.

What happened. Your approval rate fell from 78.4% to 73.1%, almost entirely because e-wallet payments (GrabPay, GCash, ShopeePay, DANA, TouchNGo) dropped from about 80% to about 61%. Cards held steady, which is why the overall number hid it.

Why. On Jan 21, Adyen, which processes all your wallet payments, began requiring an extra security confirmation (3DS2) on every wallet payment. Your account was still set to treat it as optional, so many customers were sent into the step and never completed it. That is also why support saw a 140% rise in "stuck on loading" tickets from Jan 24. Adyen's notice reached Yuno by email on Jan 18 and we did not pass it on. That is our miss.

For Dev: all 11,650 3DS_FAILED declines are on Adyen wallets, with zero on Adyen cards or Stripe; Adyen cards on the same account held at 79.4%; and the Jan 3 release and Jan 12 campaign sit in the good period, with approval near 80% until Jan 21. Your logs are clean because the failure happens after hand-off to the wallet.

Cost. Wallets are about $12.5M of your ~$48M monthly volume. You are losing about $680K a month in net revenue, and up to $2.3M a month in wallet payment value before counting customers who retried or paid another way.

What we are doing. Today we update the wallet setting (10% of Philippines traffic first, 100% within 24 hours) and open a priority case with Adyen. This week we hold a daily 15-minute call and share an hourly wallet dashboard. Next come automatic retries, a second wallet provider and better card security rules for the Philippines, Indonesia and Vietnam.

What we need from you: your approval to switch the setting on today; a Dev or QA engineer for half a day this week to test wallet checkout on real phones; 20 recent order IDs with the stuck screen; finance's view of loss after retries; and a note to support to tell customers to retry after the fix.

Expect: the fix live within 24 hours, wallets above 75% within 3 days and around 78-80% within 7 days, and your overall rate back to about 78%. A written post-mortem follows. I'll update you tomorrow morning.

Best regards, Yuno Technical Account Manager

4. Proactive Optimization Recommendations

Recommendation	Why and expected impact	Effort
Local payment methods: QRIS, GoPay, OVO (ID); MoMo, ZaloPay (VN); Maya (PH); UPI (IN); Kakao Pay (KR)	Players are 16-35, mobile-first, often without cards. PayNow/PromptPay approve at 87% vs 79% for Visa Credit but are only 1% of volume. Moving 10% of card volume in ID/VN/PH to 85%+ methods lifts those markets ~1-2 pts (validate by pilot).	4-8 wks per wave
Local acquiring for PH/ID/VN cards, A/B test 20% of traffic	Provider gaps are small (Adyen 79.4% vs Stripe 79.1%) but Checkout.com Visa Debit is weakest	6-10 wks

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	(76.1%) and domestic debit is where BIN declines cluster. +1 pt on the card book is ~$350K/month; +2 pts on an assumed 25% subset is ~$175K/month.	
Risk-based 3DS, tokenization, retries	The flat "3DS above $100" rule gives issuers no authentication evidence, so they fall back on 05 Do Not Honor (12,840 declines). Tokens lift repeat-purchase approval. +0.3-0.5 pts overall from retries and 3DS.	2-6 wks
Monitoring and alerting: alert when any provider x method x country falls >5 pts below its 7-day baseline over 2 hours, or a decline code doubles; route provider notices into tickets	This incident ran 27 days because the overall rate hid a 19-point wallet drop. These alerts would have fired on Jan 21.	1-2 wks